



Operating & Financial Review
Consolidated Financial Statements at March 31, 2024

(unaudited figures)

OPERATING AND FINANCIAL REVIEW

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Message from the Chief Executive Officer

Estelle Brachlianoff, Chief Executive Officer of the Group, commented: “ We started 2024 with strong demand for our services, which translated into substantial revenue growth of 3.9%⁽¹⁾⁽²⁾. This demand was particularly strong in our booster businesses, notably water technologies, where sales grew by 15%⁽²⁾ with orders up by 50%. Our core strongholds water and waste businesses also recorded solid organic growth.

We have continued to demonstrate our technological leadership and innovative approach to providing our customers with the water service of the future, notably through the renewal of the flagship contract with Syndicat des Eaux de l'Île-de-France, worth a total of €4 billion, and to finding solutions that now enable us to be ready to combat emerging pollutants, such as PFAS, in drinking water in the United States and France.

This commercial momentum, combined with strict financial discipline, has enabled us to increase our EBITDA by 5.7%⁽²⁾ and our current EBIT by 11.1%⁽²⁾. These are very good results, in line with the strategic priorities of the GreenUP plan, enabling us to fully confirm our objectives for the full year.”

⁽¹⁾ excluding energy prices

⁽²⁾ at constant scope and exchange rates

1

MAJOR EVENTS OF THE PERIOD

1 Major events of the period

1.1 GREEN UP - THE NEW 2024-2027 STRATEGIC PLAN

On February 29, 2024, the Group unveiled GreenUp, its new 2024-2027 Strategic Plan. Ideally positioned in the booming ecological transformation market and estimated at around €2,500 billion, Veolia is accelerating the profitable growth of its business on a worldwide scale with the new plan. At the same time, it is reinforcing its decarbonization commitments by focusing primarily on its high-impact solutions, or boosters. These are the most essential and transformative solutions in the fields of water, energy and waste.

Their rapid, large-scale deployment will help erasing 18 million metric tons of scope 4¹ CO₂ emissions by 2027 and preserve 1.5 billion m³ of water. This impact demonstrates the importance of dedicating efforts to greening, transformation, and not just to what is already “green”.

This is the most effective way to reconcile economy and ecology, and that is precisely the objective of GreenUp. Veolia is also accelerating its own decarbonization trajectory, with a reduction in emissions (Scope 1 & 2) of -50% by 2032, compatible with the 1.5°C warming trajectory of the Paris Agreement. Veolia is poised to obtain the benefits offered by growth opportunities, capitalize on its key position in the market, and thus benefit from the advantage of being the market leader.

The Group is targeting more than €8 billion in EBITDA by 2027 and an average of 10% annual growth in its current net income during the 2023-2027 period.

To achieve its growth, Veolia acts as a solutions integrator, combining its different businesses – water, waste and energy – to help its customers decarbonize, depollute and regenerate resources. To achieve this, the Group relies on the combination of its core businesses with growth boosters, and its presence in different geographies in order to duplicate proven solutions in one of the 44 countries where it operates.

Boosters, and the development of digital & technological innovation

Spearhead of Veolia's growth, boosters are strategic activities to which the Group will devote a major share of its resources, as part of its GreenUp plan. These already account for 30% of its revenue and will generate 70% of its growth between 2024 and 2027. Veolia will allocate half of its growth investments to these activities, i.e. €2 billion, as much as for all the activities in the previous strategic plan.

GreenUp's boosters are:

- **decarbonizing local energy** through bioenergies, energy efficiency in buildings and industries, and electrical flexibility,
- **water technologies** and new solutions to preserve water resources and treat new pollutants,
- **hazardous waste treatment**, to treat the most toxic and harmful elements to protect ecosystems and public health.

Already a leading player in the research and development of environmental solutions, with 14 research centers worldwide, the Group will significantly step up its investment in innovation with an additional €200m to design the technologies of the future.

Veolia also plans to increase the efficiency gains offered by digital technology and artificial intelligence as part of its annual savings plan, to optimise its customers' water and energy consumption as well as waste sorting and recycling and strengthen predictive maintenance.

Strongholds

The acceleration of GreenUp will rely on the Group's core businesses, the soil on which these boosters can grow. These currently account for 70% of Veolia's activities and will continue to fuel its growth, representing 30% by 2027 with €2 billion of investment as part of the plan.

These are the robust foundations of essential services to the territories or to industry, often comparable to infrastructures. For these activities, such as heating networks, municipal water and solid waste management, Veolia is working to maintain its operational excellence and pursue its innovation efforts.

GreenUp's commitments for 2024-2027

- Solid revenue growth ⁽¹⁾
- €350 million savings per year
- over €8 billion of EBITDA by 2027
- Annual growth in current net income of around 10% during the 2023-2027 period ⁽²⁾
- Financial leverage less than or equal to 3x
- Dividend growth in line with current EPS
- €4 billion in growth investments, of which €2 billion prioritized for three growth boosters
- Decarbonization: 18 million metric tons of CO₂ erased in 2027 (scope 4) & emission reduction trajectory compatible with 1.5°C warming (scopes 1 & 2)
- Regeneration: 1.5 billion m³ of fresh water saved in 2027
- Depollution: 10 million metric tons of hazardous waste and pollutants treated in 2027

⁽¹⁾ Excluding energy prices

⁽²⁾ At constant exchange rates

¹ The introduction of a scope 4 indicator is designed to measure and recognize the ecological transformation, and in particular the decarbonization of industrial and economic activities. Scope 4 avoided emissions, which quantify the CO₂ that would have been released into the atmosphere, correspond to the positive impact of the decarbonization solutions put in place. Complementary to scopes 1, 2 and 3, scope 4 would help steer economic, financial and regulatory decisions toward true global and collective decarbonization of the planet.

1.2 BUSINESS AND INCOME TRENDS

An excellent start to the year with solid earnings

2024 got off to a very good start for Veolia and follows on from the record performances recorded in 2023. They reveal solid growth in revenue (excluding energy prices), EBITDA and Current EBIT, despite the impact of unfavorable weather.

These results confirm the strength of the Group's business model and its ability to deliver solid organic growth, owing to its leadership position in its main countries of operation, a balanced geographical footprint and a portfolio of diversified, complementary activities. This solid increase in revenue stems from the growth of the Water and Waste core activities and from the significant expansion of boosters, particularly Water Technologies.

(€ million)	31 March 2023	31 March 2024	2024 / 2023 Change	
			Δ at constant exchange rates	Δ at constant exchange rates & scope
Revenue	12,007	11,556	-1.9 %	-1.7 %
EBITDA	1,574	1,624	6.9 %	5.7 %
Current EBIT (1)	788	843	12.3 %	11.1 %
Net Financial Debt ⁽¹⁾	-18,727	-18,997		

⁽¹⁾ The indicators are defined in Section 5.1 below.

Revenue as of March 31, 2024 was €11,556 million, a change of -1.7% at constant scope and exchange rates. Excluding energy prices, revenue rose +3.9% at constant scope and exchange rates.

- **Water activities** recorded organic growth of +6.5% due to excellent activity levels in Water Technologies and tariff reviews, benefiting from robust construction activity levels and an increase in volumes;
- **Waste activities** grew by +5.5%, driven by price reviews, slightly higher volumes and solid performance of hazardous waste treatment activities;
- **Energy activities** recorded a -16.5% change at constant scope and exchange rates due to lower energy prices and, to a lesser extent, an adverse weather impact of -1.0%. They benefited from strong commercial momentum in energy efficiency services in Belgium, Italy, the Middle East and Hong Kong.

EBITDA as of March 31, 2024 stood at €1,624 million, an increase of +5.7% at constant scope and exchange rates. The lower energy prices that impacted revenue did not affect EBITDA due to a fall in energy purchase costs. EBITDA also benefited in the first quarter from the gains generated by operating efficiency programs (€88 million) and Suez integration synergies (€42 million), ahead of target.

Current EBIT is €843 million, up +11.1% at constant scope and exchange rates from March 31, 2023.

Net financial debt stood at €18,997 million as of March 31, 2024. It increased compared with March 31, 2023, mainly due to the impact of adverse effects on the change in working capital requirements in the first quarter of 2024.

1.3 ESG ACHIEVEMENTS AS PART OF OUR MULTIFACETED PERFORMANCE

For the 2024-2027 period, Veolia, as a leading ESG company, will continue its multifaceted performance as part of GreenUp, the new strategic program. GreenUp is an effective tool for monitoring all aspects of performance (in relation to employees, society, the planet, customers and shareholders). Veolia has redefined its main objectives for multifaceted performance over the next four years.

In the spirit of simplification, in order to improve take-up and alignment with GreenUp, the new strategic program, the multifaceted performance framework was reduced to 15 targets, along with the number of associated Group performance indicators.

Environmental Commitments

2050 Net Zero Carbon Commitment

- On February 29, 2024, Veolia published its climate report, which contains details of the net zero pathway to 2050 and forecasts a 50% reduction in scope 1 and 2 emissions by 2032, relative to 2021. The reduction of scopes 1 and 2 is one of the 15 multifaceted performance indicators used for GreenUp.
- As part of GreenUp, Veolia has confirmed its commitment to phase out the use of coal in Europe, with a massive investment program of €1.6 billion by 2030, leading to a reduction of 2.7 million metric tons of CO₂ emitted. As of March 31, 2024, Veolia had invested a total of €623 million in decarbonization projects in Central and Eastern Europe.
- Veolia is also committed to the decarbonization of its customers, setting a target of generating 18 million metric tons of CO₂ equivalent emissions avoided (scope 4) by 2027.
- In France, Veolia is accelerating the roll-out of local decarbonized energy with the installation of solar panels at post-operation landfill sites. The Group plans to start developing more than 40 solar projects on non-hazardous waste landfill sites. This will create installed capacity of 300 MW of renewable energy, equivalent to the consumption of around 130,000 inhabitants. The first facilities will be operational from 2027.

“Net Zero Water”: sustainable management of water resources

- Veolia is also committed to preserving fresh water and regenerating resources. The target is to preserve 1.5 billion cubic meters of fresh water by 2027. This is based on reducing leaks from drinking water networks and using alternative water sources (reuse of treated wastewater or seawater desalination).

Environmental protection and biodiversity:

- Veolia is also committed to speeding up environmental depollution and protecting biodiversity. The Group has updated the map of its sensitive sites and is currently rolling out action plans for each one. The aim is to have at least 85% of them done by 2027.
- The Group is committed to combating pollution and safeguarding public health under its GreenUp strategic plan. Its aim is to process 10 million metric tons of hazardous waste over the plan's lifetime.

Social Commitments

- The Group has renewed its social and societal commitments under the GreenUp program.
- For employee health, safety and wellbeing, Veolia has pledged to reduce its lost-time accident frequency rate by nearly 1 percentage point (from 5.0 to 4.1) by 2027.
- Veolia is committed to diversity and inclusion targets, for example by continuing to increase the proportion of female executives on the Group's Management Committee (to exceed 30% from 2026).
- Veolia raised the target for its employee engagement rate by 5 percentage points to 85% from 2024, as validated by an independent survey.
- In terms of social responsibility in the regions where the Group operates, Veolia is committed to supporting local communities. The Group has set a target for 2027 of 8.4 million people to have inclusive access to an essential service (water, sanitation, energy, waste management) as a result of the Group's actions.

Governance Commitments

- Veolia has reiterated its ambitious target for business ethics and integrity as part of its new strategic program.
- On March 18, 2024, the Group launched the Terra Academia school in France, whose mission is to advance the way in which knowledge of the environmental sector is conceptualized and disseminated and to accelerate training to meet current and future needs. Veolia, a founding member, came up with the concept of a new local academy. It will contribute its knowledge of the sector and solutions for decarbonization, depollution and resource regeneration, as well as its long-standing commitment to the environment.

1.4 CHANGES IN GROUP STRUCTURE - STRATEGIC PROGRAM

1.4.1 Innovations and commercial developments

In 2024, the Group pursued its innovations and commercial developments, for both its strongholds and its growth boosters, as defined under its new GreenUp strategic program.

Stronghold – Municipal water supply

■ Award of the SEDIF contract

On January 25, 2024, the Greater Paris Water Authority (SEDIF) selected Veolia for the management of its public drinking water service from 2025 to 2036, considering their offer as the best and most suitable for the challenges defined in their specifications. The contract, with a total value of €4 billion over 12 years, covers the water distribution for 4 million inhabitants across 133 municipalities in the Ile-de-France region. Veolia's bid includes groundbreaking solutions, such as advanced membrane filtration combining nanofiltration and reverse osmosis to treat micropollutants, and decarbonization of the water supply using low-carbon energy.

Stronghold – Solid waste

■ Successful launch of a new plastics recycling plant in Japan

In 2024, Veolia commissioned its new Circular-PET (C-PET) plant in partnership with the conglomerate Mitsui and the Japanese distribution group Seven & i. C-PET is a new recycled plastics production plant in Japan. It is an example of a circular business model in which used PET bottles are collected and recycled as raw materials to make new PET bottles. The plant has an annual capacity of 25,000 metric tons and will result in 27,500 metric tons of avoided CO₂ emissions.

Booster – Water Technologies and new solutions

■ Construction of the Hassyan desalination plant in Dubai

Veolia was awarded the contract for the construction of the Hassyan seawater desalination plant in Dubai. This USD 320 million project, commissioned by Dubai Electricity and Water Authority (DEWA) and ACWA Power, will supply the region with drinking water using state-of-the-art, energy-efficient reverse osmosis technology. The Hassyan plant will be one of the largest desalination facilities in the world, with a production capacity of 818 000 m³ of drinking water per day.

Booster – Bioenergy, flexibility and energy efficiency

■ Acquisition of Uniper's assets in Hungary

On February 19, 2024, Veolia, through its Hungarian subsidiary, signed an agreement with Uniper for the acquisition of a power plant with an installed capacity of around 430 MW. This facility complements Veolia's flexible energy portfolio to meet the needs of resilient power systems.

Veolia's unique positioning as illustrated by recent PFAS-related developments

Emerging regulations on PFAS (persistent pollutants) in the United States are opening up a market estimated to be worth US\$200 billion. This will be addressed with innovative solutions to protect drinking water, process wastewater and clean up contaminated sites, drawing on the advanced technologies at the Group's disposal, such as membrane filtration and hazardous waste management.

In France, Veolia is conducting a campaign on an unprecedented scale to detect the presence of PFAS in drinking water. To date, this vast detection campaign has already covered two thirds of drinking water production sites. The results are encouraging, with 99% compliance with the applicable regulations.

1.4.2 Changes in Group structure

The main changes in scope in the first quarter 2024 were as follows:

■ Acquisition of Hofmann (Germany)

On March 1, 2024, the Group finalized the acquisition of the recycling and waste management operations of Friedrich Hofmann GmbH for €278 million.

This allows the Group to expand its geographic coverage in the German market. The Hofmann Group is active in southeast Germany, particularly in the Nuremberg region. The company is mainly involved in the collection, sorting, recovery, recycling and trading of secondary raw materials.

■ Disposal of SADE (France)

On February 16, 2024, the Group signed a Share Purchase Agreement for NGE, an independent public works group, to acquire SADE, its wholly owned subsidiary specializing in the construction and repair of water and infrastructure networks. The transaction was closed on February 29, 2024. The transaction was valued at €198 million, including a deferred payment of €20 million.

As a reminder, SADE's activities, mostly consisting of civil engineering works and network construction in the water sector, generated annual revenue of €1.1 billion in 2023. It has a workforce of around 6,900 employees.

As of December 31, 2023, Sade's assets and liabilities had been reclassified as assets and liabilities held for sale.

■ Consolidation of Lydec (Morocco)

In the first quarter of 2024, exchanges between the Group and the Moroccan authorities progressed with a view to a total divestiture of the Group's stake in Lydec to the Moroccan state.

Regarding the Competition Council, it issued its final conclusions at the end of March, confirming a fine of 9 million euros provisioned in the group's accounts, endorsing the divestiture project to the Moroccan state as being able to address competition concerns and as a result, closing the investigation opened against Veolia.

Veolia and the Moroccan state are actively pursuing their discussions with a view to signing a divestiture agreement of Lydec to the Moroccan state around the end of the first half of 2024.

In this context, in application of the IFRS5 standard, the Group has classified its stake in Lydec as "assets and liabilities" intended for sale as of March 31, 2024.

1.5 GROUP FINANCING

1.5.1 Changes in Group debt

Net financial debt is €18,997 million as of March 31, 2024. Cash and cash equivalents stood at €8,429 million as of March 31, 2024, following the redemption of a €750 million bond debt maturing on January 14, 2024.

The foreign exchange impact including the fair value adjustment on net financial debt is positive, amounting to €81 million as of March 31, 2024.

The Group has liquidity lines totaling €5,914 million¹, providing it with a strong net liquidity position, which amounts to €6,517 million on March 31, 2024.

On March 15, 2024, Veolia Environnement announced the redemption of a hybrid debt for the remaining nominal amount of €203 million, effective as of April 19, 2024.

1.5.2 Bonds issue

Veolia Environnement did not need to issue new bonds as of March 31, 2024, as its liquidity position was sufficient to cover its maturities.

1.5.3 Confirmation of the credit outlook

On April 4, 2024, Standard and Poor's confirmed Veolia Environnement's credit rating at A-2/BBB with a stable outlook. On April 10, 2024, Moody's confirmed the Group's rating at P-2/Baa1 with a stable outlook.

1.5.4 Dividend payment

The Combined General Meeting of April 25, 2024 approved payment of a dividend of €1.25 per share for 2023, payable in cash. The 2023 dividend was paid from May 10, 2024 for a total amount of €894 million.

¹ The Group has a €4,500 million syndicated credit facility, plus bilateral credit facilities totaling €1,414 million.

1.6 CHANGES IN GOVERNANCE

As part of the annual re-election of the Board, the Board of Directors' meeting of March 12, 2024 noted the expiration of the terms of office of three directors at the end of the General Meeting of April 25, 2024 (Mrs. Isabelle Courville, Mrs. Nathalie Rachou and Mr. Guillaume Texier) and that Mrs. Nathalie Rachou did not seek the renewal of her term of office at the end of that General Meeting. At the recommendation of the Nominations Committee, the same Board of Directors' meeting decided to ask the General Meeting to renew the term of office of Mrs. Isabelle Courville and Mr. Guillaume Texier as directors and appoint Mrs. Julia Marton-Lefèvre as director.

The Veolia Environnement Combined General Meeting of April 25, 2024:

- renewed the term of office of Mrs. Isabelle Courville and the term of office of Mr. Guillaume Texier as directors; and
- appointed Mrs. Julia Marton-Lefèvre as director

for a four-year period expiring at the end of the Ordinary General Meeting called to approve the financial statements for the year ending December 31, 2027.

At the date of this management report, the Veolia Environnement Board of Directors had 14 directors, 73% of whom were independent directors (excluding the 2 directors representing employees and the director representing employee shareholders), 54.5%¹ of whom were women, and 1 non-voting member (*censeur*):

- Mr. Antoine Frérot, Chairman of the Board of Directors;
- Mrs. Estelle Brachlianoff, Chief Executive Officer;
- Mr. Pierre-André de Chalendar*; Senior Independent Director,
- Mr. Olivier Andriès*;
- Mrs. Maryse Aulagnon;
- Mrs. Véronique Bédague*;
- Mrs. Isabelle Courville*;
- Mrs. Marion Guillou*;
- Mr. Franck Le Roux, Director representing employees;
- Mrs Julia Marton-Lefèvre* ;
- Mrs. Agata Mazurek-Bąk, Director representing employee shareholders;
- Mr. Pavel Páša, Director representing employees;
- Mr. Francisco Reynés*;
- Mr. Guillaume Texier*;
- Mr. Enric Amiguet i Rovira, non-voting member (*censeur*).

* Independent member.

The composition of the Board Committees is:

- **Accounts and Audit Committee:** Mr. Guillaume Texier (chairman), Mr. Olivier Andriès, Mrs. Véronique Bédague, Mr. Franck Le Roux, and Mrs. Agata Mazurek-Bąk.
- **Nominations Committee:** Mr. Pierre-André de Chalendar (chairman), Mrs. Maryse Aulagnon, Mrs. Isabelle Courville and Mr. Antoine Frérot.
- **Compensation Committee:** Mr. Olivier Andriès (Chairman), Mrs. Maryse Aulagnon, Mr. Pierre-André de Chalendar, Mrs. Marion Guillou, Mr. Franck Le Roux and Mr. Francisco Reynés.
- **Research, Innovation and Sustainable Development Committee:** Mrs. Isabelle Courville (Chairwoman), Mrs. Marion Guillou, Mrs. Julia Marton-Lefèvre, Mr. Pavel Páša and Mr. Guillaume Texier. Mr. Enric Amiguet i Rovira is a permanent guest of this committee.
- **Purpose Committee:** Mr. Antoine Frérot (Chairman), Mr. Olivier Andriès, Mr. Pierre-André de Chalendar, Mrs. Isabelle Courville, Mr. Franck Le Roux and Mr. Guillaume Texier.

The Chief Executive Officer is assisted in the performance of her duties by an Executive Committee, a discussion, consultation and general policy decision-making body which seeks to implement the Group's strategic direction. The Committee is also consulted on major issues concerning the Group's corporate life.

The Executive Committee meets monthly.

As of the date of this management report, the Company's Executive Committee had 14 members:

- Mrs. Estelle Brachlianoff, Chief Executive Officer;
- Mrs. Isabelle Calvez, Senior Executive Vice President, Human Resources
- Mr. Sébastien Daziano, Senior Executive Vice President, Strategy and Innovation;
- Mr. Gavin Graveson, Senior Executive Vice President, Northern Europe;
- Mr. Philippe Guitard, Senior Executive Vice President, Central and Eastern Europe;
- Mr. Éric Haza, Chief Legal Officer;
- Mr. Claude Laruelle, Deputy Chief Executive Officer Finance, Digital and Purchasing;
- Mrs. Anne Le Guennec, Senior Executive Vice President, Worldwide Water Technologies;
- Mr. Christophe Maquet, Senior Executive Vice President, Asia and Pacific;
- Mr. Gustavo Miguez, Senior Executive Vice President, Iberia and Latin America;
- Mr. Jean-François Nogrette, Senior Executive Vice President, France and Special Waste Europe;
- Mr. Laurent Obadia, Senior Executive Vice President, Stakeholders and Communications; Advisor to the Chairman
- Mr. Helman le Pas de Sécheval, General Counsel;
- Mr. Frédéric Van Heems, Senior Executive Vice President, North America.

In addition, Management Committee meetings bring together, each quarter, all the Group's functions and geographies to share and commit to the Group's challenges and outlook. At the date of this management report, this Committee had 37 members, including the 14 members of the Executive Committee; its composition can be viewed on Veolia's website (www.veolia.com).

¹ Excluding the two Directors representing employees and the Director representing employee shareholders in accordance with Articles L. 225-27-1 and L. 22-10-7 of the French Commercial Code (Code de commerce).

ACCOUNTING AND FINANCIAL INFORMATION

2 Accounting and financial information

2.1 KEY FIGURES

Group key figures are presented in accordance with the definitions as described in the publication of the financial statements for the year ended December 31, 2023 (see Chapter 5.1 – Definitions).

(€ million)	March 31, 2023	March 31, 2024	2024 / 2023 Change		
			Δ	Δ at constant exchange rates	Δ at constant scope & exchange rates
Revenue	12,007	11,556	-3.8%	-1.9%	-1.7%
EBITDA ⁽¹⁾	1,574	1,624	3.2%	6.9%	5.7%
Current EBIT ^{(2) (3)}	788	843	7.0%	12.3%	11.1%
Net industrial investments	-894	-915			
Net free cash-flow	-482	-673			
Net financial debt - Closing ⁽⁴⁾	-18,727	-18,997			

(1) The indicators are defined in Section 5.1

(2) Including the share of current net income of joint ventures and associates.

(3) Re-presented for depreciation of remeasured assets, identified during the Suez purchase price allocation, of €56 million as of March 31, 2023 and €52 million as of December 31, 2024, as defined in Section 5.1 below.

(4) Net financial debt excludes the remeasurement of financial liabilities in the context of the Suez purchase price allocation as defined in Section 5.1 below.

The main foreign exchange impacts between March 31, 2024 and March 31, 2023 are as follows:

FX impacts for the three months ended March 31, 2024 (vs March 31, 2023)	%	(€ million)
Revenue	-1.9%	-228
EBITDA	-3.7%	-58
Current EBIT	-5.3%	-42
Net financial debt (1)	-0.4%	81

(1) including fair value adjustment.

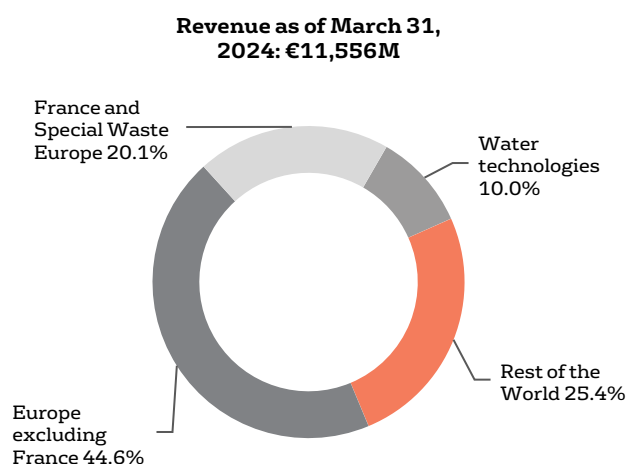
2.2 GROUP REVENUE

2.2.1 Revenues by operating segment

Consolidated revenue totaled €11,556 million for the three months ended March 31, 2024, compared with €12,007 million for the three months ended March 31, 2023. The change was -1.7% at constant scope and exchange rates and +3.9% excluding the effect of energy prices, which mainly affects Europe excluding France.

(€ million)	March 31, 2023	March 31, 2024	Δ	2024/2023 change	
				Δ at constant exchange rates	Δ at constant scope and exchange rates
France and Special Waste Europe	2,354	2,318	-1.6%	-1.6%	2.7%
Europe excluding France	5,664	5,147	-9.1%	-10.0%	-10.8%
Rest of the World	2,924	2,932	0.3%	7.6%	6.2%
Water technologies	1,059	1,156	9.2%	15.3%	15.3%
Other	5	4	-	-	-
GROUP	12,007	11,556	-3.8%	-1.9%	-1.7%

As of March 31, 2024, revenue by operating segment breaks down as follows:



Compared with March 31, 2023, the change in revenue as of March 31, 2024 was -1.7% at constant scope and exchange rates. It increased significantly in the Water Technologies segment, grew steadily in the Rest of the World segment and rose moderately in France and Special Waste Europe. It decreased in the Europe excluding France segment due to lower energy prices than in 2023:

- Water technologies +15.3%;
- Rest of the World +6.2%;
- France and Special Waste Europe +2.7%, and
- Europe excluding France -10.8%, and +1.0% excluding energy prices.

Revenue for the **France and Special Waste Europe** segment totaled €2,318 million, with organic growth of +2.7% compared with March 31, 2023:

- **Water France** revenue rose +4.4% to €711 million, mainly fueled by the +4.6% positive effect of tariff reviews and higher volumes (+0.5%).
- Revenue for **Waste France** rose +3.4% to €733 million, owing to the positive effect of indexation and tariff reviews and in spite of the low volumes.

- **Special Waste Europe** revenue stood at €556 million, a rise of +2.6%. This was mainly affected by the increase in tariffs for sanitation maintenance activities, offsetting the impact of lower oil prices. First-quarter volumes are broadly resilient compared with 2023.

Revenue for the **Europe excluding France** segment totaled €5,147 million as of March 31, 2024, with organic growth of -10.8% due to lower energy prices than in 2023. Excluding energy prices, revenue increased by +1.0%.

- In **Central and Eastern Europe**, revenue amounted to €3,244 million, down -16.2%. It was significantly affected by lower energy prices, and to a lesser extent by an unfavorable weather impact (-€40 million) due to a milder winter than last year.
- In **Northern Europe**, revenue rose +2.8% to €1,020 million, mainly attributable to the change in revenue in the United Kingdom, up +5.6% at constant scope and exchange rates. This was predominantly in the Waste activity, which benefited from tariff indexation and an increase in volumes processed, particularly in incineration, as a result of good plant availability.
- In **Iberia**, revenue was down slightly at €613 million (-0.6%). It was negatively impacted by lower energy prices, which were offset by tariff increases and growth in construction activity in the Water segment.
- **Italy** generated revenue of €270 million, down -7.1% mainly due to the drop in energy prices. Profitability was not affected due to a parallel decrease in energy purchase costs.

In the **Rest of the World**, revenue totaled €2,932 million. This equated to organic growth of +6.2%, increasing across all geographies excluding Asia:

- In **Latin America**, revenue rose +24.0% to €473 million. This was mostly due to high waste volumes, particularly in Brazil and Colombia, the effect of tariff reviews on water activities in Chile, and the impact of hyperinflation in Argentina (offset by the devaluation of the Argentine peso).
- In **Africa Middle-East**, revenue rose +4.1% to €385 million, mainly driven by the growth of energy services in the Middle East and the increase in activity in Morocco.
- In **North America**, revenue rose +3.8% to €784 million. The Hazardous Waste activity showed good momentum with tariffs and volumes both increasing. The Water activity benefited from tariff increases, with volumes up +3% for the "regulated water" activity.

- Revenue in **Asia** fell -3.8% to €638 million, mainly due to reduced activity at hazardous waste treatment plants in China and India. These effects were partially offset by good commercial momentum in energy efficiency in Hong Kong (+10.0%), energy in China and water in Japan (+4.7%).
- In the **Pacific**, revenue increased +8.5% to €494 million, mainly driven by tariff reviews and higher volumes of waste processed, as well as good commercial momentum in industrial maintenance.

The **Water technologies** activity reported a revenue increase of +15.3% to €1,156 million, driven by growth in WTS's Engineering Systems and Chemical Solutions activities and VWT's Services and Technology activities. Bookings by the Water Technologies' business totaled €1,025 million as of March 31, 2024, up significantly by 31% on March 31, 2023 (€785 million).

2.2.2 Revenues by business line

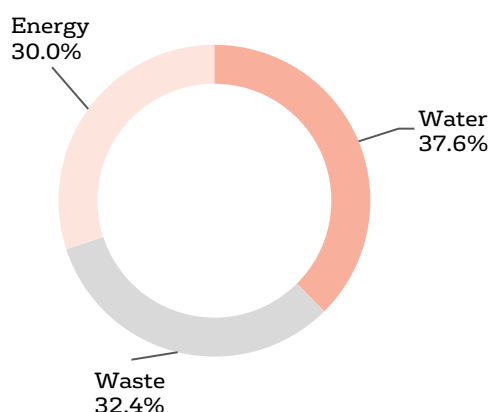
The change in revenue by business was -1.7% at constant scope and exchange rates compared with March 31, 2023. Excluding energy prices, revenue increased +3.9%. The change in revenue by business is due to the following:

- growth in **Water** activities, up +6.5% due to the increase in Water Operations (+3.8%) and growth in Technology and Construction (+12.7%)
- +5.5% growth in the **Waste** activity;
- -16.5% change in **Energy**; excluding energy prices and weather impact, Energy revenue slightly increases (+1.1% compared with March 31, 2023).

(in € million)	March 31, 2023	March 31, 2024	Δ	2024/2023	
				Δ at constant exchange rates	Δ at constant scope and exchange rates
Water	4,270	4,343	1.7 %	4.9 %	6.5 %
of which Water Operations	2,961	3,021	2.1 %	4.4 %	3.8 %
of which Technology and Construction	1,310	1,322	0.9 %	5.9 %	12.7 %
Waste	3,603	3,746	4.0 %	6.9 %	5.5 %
Energy	4,133	3,468	(16.1)%	(16.4)%	(16.5)%
Other	0	-	-	-	-
GROUP	12,007	11,556	(3.8)%	(1.9)%	(1.7)%

Revenue for the three months ended March 31, 2024 breaks down by business as follows:

Group Revenue as of March 31, 2024:
€11,556M



The main changes in revenue by business at constant scope and exchange rates compared with March 31, 2023 break down as follows.

Water revenue

Water revenue rose +6.5%. **Water Operations** revenue climbed +3.8%, with tariff increases across all geographies, a good level of construction works activity and increasing volumes, mainly in Central and Eastern Europe (+4.2%), the United States (+3%) and Morocco (+2.4%). In France and Spain, volumes were stable.

Technology and Construction revenue rose +12.7%, driven by Water Technologies activities.

Waste revenue

Revenue for the **Waste** activity grew +5.5%. It benefited from favorable tariff reviews (+4.6%), which offset the impact of lower recycle prices (-0.7% in revenue) observed primarily in Northern Europe and Spain. The Commerce/Volume/Works impact was positive (+1.2%), with an increase in volumes, particularly in the United Kingdom and Australia, and an increase in hazardous waste activity outside Asia.

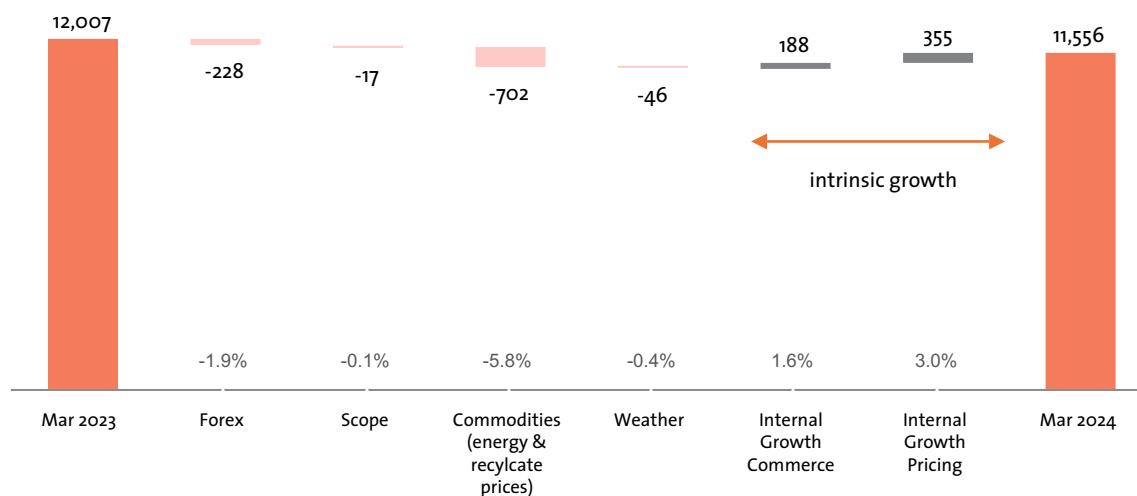
Energy revenue

Energy revenue recorded a -16.5% change owing to the decrease in energy prices. The unfavorable weather impact in the first quarter of 2024 accounted for -1.0% of revenue due to a milder winter. Energy services revenue was boosted by solid commercial activity in Europe (Italy, Belgium), the Middle East and Hong Kong.

¹ For the Projects and Products businesses

2.2.3 Analysis of changes in Group revenues

The change in revenue is -1.7% at constant scope and exchange rates, and +3.9% excluding energy prices and breaks down as follows:



The **foreign exchange impact** of -€228 million (-1.9%) mainly reflects the depreciation of the Argentine, Chilean, Czech and Australian currencies, partially offset by an appreciation of the Polish and UK currencies.¹

The consolidation **scope impact** of -€17 million (-0.1%) mainly includes the impact of the disposal of SADE on February 29, 2024, partially offset by the acquisition of Hofmann (Germany) in the first quarter of 2024, and by the entry into the consolidation scope of Lydec (Morocco) on January 25, 2023.

The impact of **commodities** (corresponding to changes in energy and recycle prices) was -€702 million (-5.8%), due to the effect of lower energy prices (-€679 million), mainly in Central and Eastern Europe, and lower recycle prices (-€24 million), mostly from plastics.

The **weather impact** was -€46 million (-0.4%), primarily in Central and Eastern Europe, whose energy activity was impacted by a milder winter than in 2023.

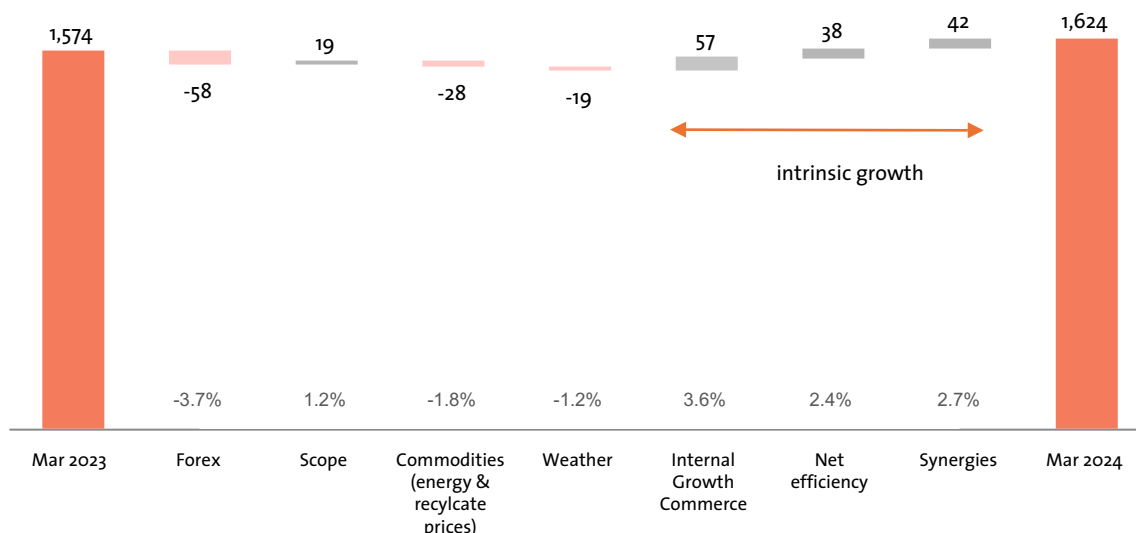
Intrinsic growth stood at +4.5%, driven by positive commerce and price effects. The **Commerce/Volumes/Works impact** totaled +€188 million (+1.6%), driven by good commercial momentum, higher water volumes, construction work progress and growth in Water Technologies. Favorable **price effects** represented +€355 million (+3.0%) and are mainly tied to tariff reviews estimated at +4.6% in waste and +3.6% in water.

¹ Main foreign exchange impacts by currency: Argentinian peso (-€159 million), Chilean peso (-€40 million), Czech koruna (-€33 million) and Australian dollar (-€26 million), partially offset by the Polish zloty (+€84 million) and pound sterling (+€23 million).

2.3 GROUP EBITDA

Group consolidated EBITDA as of March 31, 2024 was €1,624 million, compared with €1,574 million as of March 31, 2023, an increase of +5.7% at constant scope and exchange rates. EBITDA benefited from revenue growth of +3.9% excluding the impact of energy prices and operating efficiency programs (€88 million in gains generated in the quarter), as well as synergies generated following the integration of Suez (€42 million in the first quarter).

The change in EBITDA between March 2023 and March 2024 breaks down by impact as follows:



The **foreign exchange** impact on EBITDA of -€58 million (-3.7%) mainly reflects the depreciation of the Argentine, Chilean and Czech currencies, partially offset by the appreciation of the Polish currency⁽¹⁾.

The **consolidation scope** impact of +€19 million (+1.2%) mainly includes the impact of the acquisition of Hofmann (Germany) in the first quarter of 2024, and the entry into the consolidation scope of Lydec (Morocco) on January 25, 2023, partially offset by the disposal of SADE on February 29, 2024.

External factors negatively impacted EBITDA:

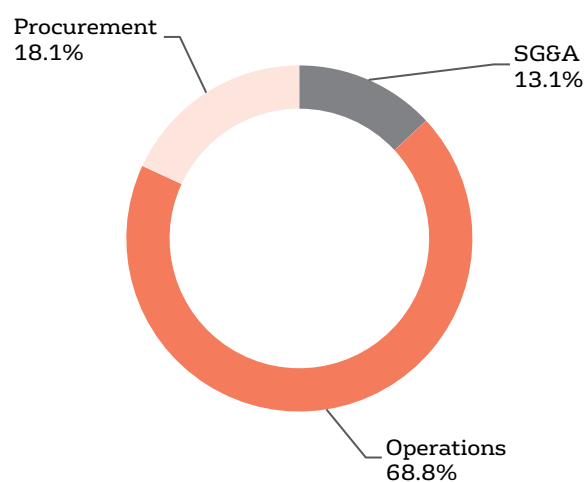
- The change in **commodity prices** (energy and recycle) had a net unfavorable impact on EBITDA of -€28 million (-1.8%), mainly tied to lower energy selling prices net of the fall in purchase costs, for -€19 million, and the fall in recycle prices (-€9 million), especially in Northern Europe.
- The **weather impact** was -€19 million (-1.2%), mainly in Central and Eastern Europe, which had a milder winter than in 2023.

Internal growth is due to favorable Commerce/Volumes/Works impacts and the efficiency gains generated by the Group, of which it retains 43%.

- Favorable **Commerce/Volumes/Works impacts** of +€57 million (+3.6%) resulted from the positive impact on revenue.
- The **efficiencies** generated by the Group, net of gains shared with customers, contract renegotiations and the effect of timing differences on the retrocession of costs, generated €38 million (+2.4%) in additional EBITDA in 2024. It represents a retention rate of 43% of the gains generated by the Group under the efficiency plan.

The gains generated by the **efficiency plan** contributed €88 million in the first quarter of 2024, in line with the target of €350 million by 2024. Gains mainly concerned operating efficiency (69%) and purchasing (18%) and were achieved across all geographies: France and Special Waste Europe (23%), Europe excluding France (40%), Rest of the world (32%) and Water Technologies (5%).

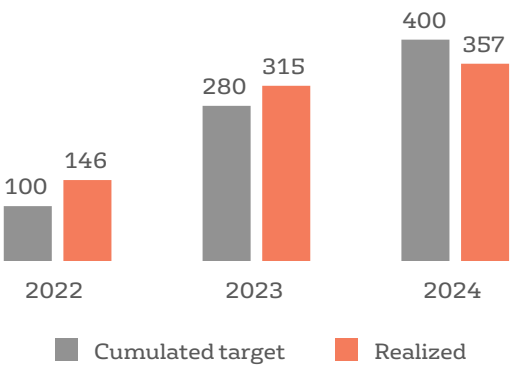
Efficiency plan €88M



¹ Main currency translation impacts: Argentine peso (-€29 million), Chilean peso (-€20 million), Czech koruna (-€10 million), offset by the Polish zloty (+€12 million).

Synergies achieved following the integration of Suez totaled €42 million. Together with those already achieved in 2022 and 2023, synergies total €357 million, ahead of the aggregate target of €400 million at the end of 2024, mainly due to economies of scale achieved on purchases.

Cumulated synergies: 357 M€



2.4 OTHER INCOME STATEMENT ITEMS

2.4.1 Current EBIT

Group Current EBIT for the three months ended March 31, 2024 was €843 million, up +11.1% at constant scope and exchange rates on the year ended March 31, 2023. EBITDA reconciles with Current EBIT as follows:

(€ million)	March 31, 2023	March 31, 2024
EBITDA	1,574	1,624
Renewal expenses	-68	-72
Amortizations (*)	-736	-762
Provisions, capital gain or loss on disposals of fixed assets, and others	-10	31
Share of current net income of joint ventures and associates	28	22
Current EBIT	788	843

(*) Including principal payments on operating financial assets, excluding the Suez purchase price allocation.

The +€88 million increase (+11.1%) in Current EBIT at constant scope and exchange rates compared with March 31, 2023 is mainly due to:

- robust growth in EBITDA (+€89 million at constant scope and exchange rates);
- an increase in amortization¹, including principal payments on operating financial assets (-€35 million at constant scope and exchange rates), mainly related to Central and Eastern Europe (particularly Uzbekistan);
- the positive impact of provisions net of capital gains on disposals (+€39 million at constant scope and exchange rates), due to the change in provisions and capital gains on industrial divestitures;
- a decrease in the Group's share of net income of joint ventures of -€6 million at constant scope and exchange rates due to non-recurring income in the first quarter of 2023.

The foreign exchange impact on Current EBIT is negative at -€42 million and mainly reflects the change in the Argentine (-€23 million) and Chilean (-€17 million) currencies.

¹ Excluding the Suez purchase price allocation

3

FINANCING

3 Financing

3.1 CHANGE IN FREE CASH FLOW AND NET FINANCIAL DEBT

Net free cash flow before financial investments and dividends is -€673 million as of March 31, 2024, a change of -€191 million compared with March 31, 2023 (-€482 million).

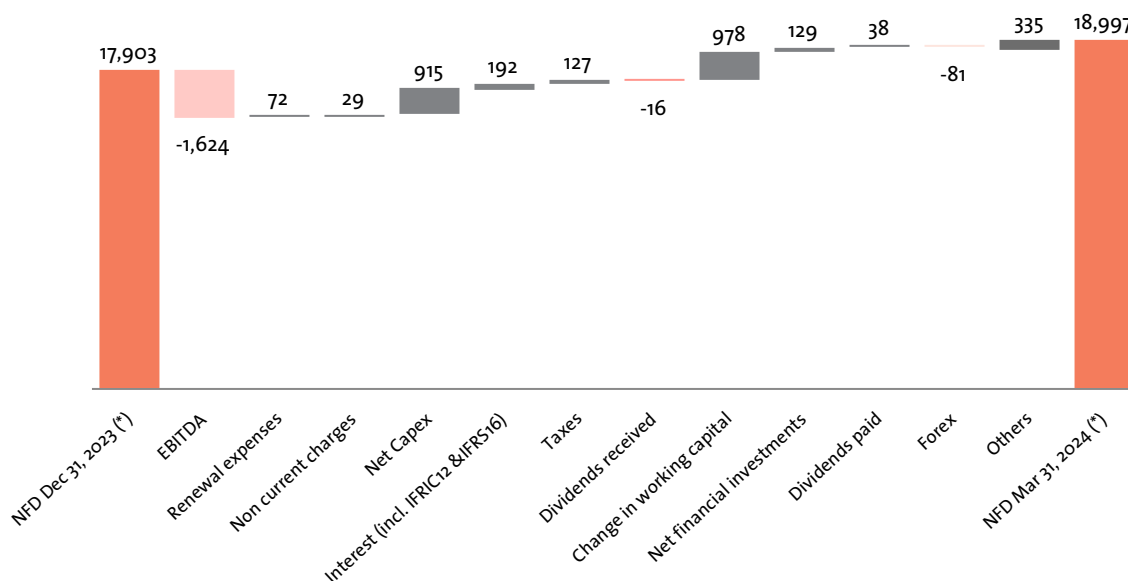
The change in net free cash flow compared with March 31, 2023 reflects:

- Higher EBITDA, driven by organic activity growth and gains generated by operating and commercial efficiency plans as well as synergies;
- Net industrial investments of -€915 million compared with -€894 million as of March 31, 2023. This increase is due to higher gross investments of €16 million, mainly due to the decarbonization projects being carried out in Central and Eastern Europe.
- The change in operating working capital requirements, which deteriorated by -€149 million compared with March 31, 2023, mainly due to unfavorable calendar effects and greater disbursements than in the first quarter of 2023 for water royalties paid to local authorities and purchases of CO₂ allowances.
- The change in interest expenses of -€60 million compared with March 31, 2023, which is primarily due to non-recurring income in the first quarter of 2023 and the evolution of the balance of variable financial expenses and income from deposits.

Net financial debt amounted to €18,997 million as of March 31, 2024, compared with €17,903 million as of December 31, 2023. Compared with December 31, 2023, the change in net financial debt is mainly due to:

- net free cash flow for the quarter of -€673 million, mainly affected by the seasonality of working capital requirements, which increased in the first quarter (-€978 million);
- net financial investments of -€129 million following the acquisition of the Hofmann GmbH Group and the disposal of the subsidiary SADE (see 1.4.2 Changes in Group structure);
- the redemption of the hybrid debt including coupons for -€209 million.

Net financial debt is also impacted by a favorable effect on foreign exchange gains and losses and fair value adjustments of €81 million as of March 31, 2024.



*Net financial debt excluding the impact of the remeasurement of debt as part of the Suez purchase price allocation, see Section 5.1.

**Of which €209 million hybrid debt redemption including coupons.

4

OTHER ITEMS

4 Other items

4.1 OUTLOOK

2024 guidance fully confirmed

In view of the excellent results achieved in the first quarter of 2024, guidance for 2024 is fully confirmed:

- Solid organic growth in revenue⁽¹⁾⁽²⁾;
- Efficiency gains above €350 million, complemented by additional synergies for a cumulative amount of more than €400 million at end-2024, in line with the €500 million cumulative objective;
- Organic growth in EBITDA between +5% and +6%⁽¹⁾;
- Current net income, Group share above €1.5 billion⁽³⁾;
- Leverage ratio expected below 3x⁽³⁾;
- Dividend growth in line with current EPS growth.

⁽¹⁾ At constant scope and exchange rates

⁽²⁾ Excluding energy prices

⁽³⁾ Excluding Suez PPA

APPENDICES

5 Appendices

5.1 DEFINITIONS

No changes have been made to non-GAAP financial indicators used by the Group in the preparation of the financial statements as of December 31, 2023.

5.1.1 Non-Strictly accounting indicators (non GAAP)

The expression “**change at constant exchange rates**” represents the change resulting from the application of exchange rates of the prior period to the current period, all other things being equal.

EBITDA comprises the sum of all operating income and expenses received and paid (excluding restructuring charges, non-current working capital impairments, renewal expenses and share acquisition and disposal costs) and principal payments on operating financial assets.

The **EBITDA margin** is defined as the ratio of EBITDA to revenue.

To calculate **Current EBIT** (which includes the share of current net income of joint ventures and associates), the following items are deducted from Operating income:

- impairment of goodwill of controlled subsidiaries and equity-accounted entities;
- restructuring charges;
- non-current provisions and impairment;
- non-current and/or significant impairment of non-current assets (property, plant and equipment, intangible assets and operating financial assets);
- depreciation of assets remeasured in the context of the Suez purchase price allocation;
- share acquisition costs.

Net industrial investments, as presented in the statement of changes in net financial debt, include industrial investments (purchases of intangible assets and property, plant and equipment, and operating financial assets), net of industrial asset divestitures.

The Group identifies three categories of investment:

- maintenance investments which reflect the replacement of equipment and installations used by the Group;
- growth investments which include investments in new equipment and installations embedded in existing contracts or in line with contractual requirements;
- discretionary growth investments which reflect investments in new equipment and installations linked to new projects, contract wins or significant new developments and extensions to existing projects or contracts.

The last two categories are defined as growth investments.

Net financial investments as presented in the statement of changes in net financial debt include financial investments, net of financial divestitures.

Financial investments include purchases of financial assets, including the net financial debt of companies entering the scope of consolidation, and partial purchases resulting from transactions with shareholders where there is no change in control.

Financial divestitures include disposals of financial assets including the net financial debt of companies leaving the scope of consolidation, and partial divestitures resulting from transactions with shareholders where there is no change in control, as well as issues of share capital by non-controlling interests.

Net free cash flow corresponds to free cash flow from continuing operations, and is equal to the sum of EBITDA, dividends received, changes in operating working capital and operating cash flow from financing activities, less net interest expenses, net industrial investments, taxes paid, renewal expenses, restructuring charges and other non-current expenses.

Net financial debt (NFD) represents gross financial debt (non-current borrowings, current borrowings, bank overdrafts and other cash position items) which includes IFRS 16 lease debt, net of cash and cash equivalents, liquid assets and financing-related assets, including fair value adjustments to derivatives hedging debt. Liquid assets are financial assets composed of funds or securities with an initial maturity of more than three months, easily convertible into cash, and managed with respect to a liquidity objective while maintaining a low capital risk. Net financial debt excludes the net impact of the remeasurement of debt in the context of the Suez purchase price allocation.

For the other indicators, please refer to Section 5.5.2 of the 2023 Universal Registration Document.

Resourcing the world

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